

JPM USD Emerging Markets Sovereign Bond UCITS ETF

Tickers: JPBМ, JPMB

Topline

Monthly returns	
Fund	Benchmark
▼ -1.65%	▼ -1.60%
Benchmark : J.P. Morgan Emerging Markets Risk-Aware Bond Index	
Markets July was shaped by shifting market focus. Early US-Iran tensions briefly drove oil higher and revived inflation concerns, before attention returned to second-quarter earnings and the durability of AI-related returns. The oil move still prompted investors to reassess the policy path.	
Helped Overweight in Hungary, the Dominican Republic and Costa Rica.	
Hurt Overweight in Peru and underweight in China and Indonesia.	
Outlook Emerging market (EM) sovereign credit remains well anchored, but valuations are tight and broad spread compression looks limited. The focus is on carry and selective pockets of value, especially if Middle East de-escalation supports further risk-premia normalisation. Renewed US exceptionalism and higher core duration remain key risks, so disciplined risk budgeting is preferred over broad beta. Investment grade (IG) remains very tight, while high yield (HY) appears fair but still offers idiosyncratic opportunities.	

Past performance and forecast is not a reliable indicator of current and future results.

Fund Overview

Investment objective

The Sub-Fund aims to provide an exposure to the performance of bonds issued by the governments or quasi-government entities of emerging markets countries globally which are denominated in US Dollars.

Fund launch date	15 February 2018
Currency	USD

Trading information

Stock exchange	Exchange ticker	Trading currency	Bloomberg ticker	Reuters RIC	Sedol
London Stock Exchange	JPMB	USD	JPMB LN	JPMB.L	BF8Q770
London Stock Exchange	JPBM	GBP	JPBM LN	JPBM.L	BF8Q394
Borsa Italiana	JPMB	EUR	JPMB IM	JPMB.MI	BF8Q7B4
Deutsche Borse	JPBM	EUR	JPBM GY	JPBM.DE	BF8Q781
SIX SWISS	JPMB	USD	JPMB SW	JPMB.S	BF8Q792

Month in Review

- **The Emerging Market Risk Aware Index (EM Risk Aware)** underperformed the emerging market debt index over the month by 18 basis points (bps).
- **The contribution from credit stabilisation was negative.** In particular, being overweight in Peru, Egypt and Bahrain and being underweight in China and Indonesia detracted from performance.
- **Overall, the contribution from risk and liquidity filters was flat.**

Looking Ahead

- **Resilient global growth**, a manageable inflation shock and a tilt toward a weaker USD create a supportive backdrop for EMD into the second half of 2026. EM growth is projected around 4.1%, with improving EM-developed market (DM) growth advantage as Europe slows, while China’s 2026 growth is nudged up to 4.6%: strong first-quarter momentum is eased in the second quarter but helped by targeted fiscal support.
- **Energy risks look less severe** than initially feared as Hormuz concerns fade and offsets temper the shock. Key risks remain renewed US exceptionalism, additional Federal Reserve (Fed) hikes, a deeper and longer crisis, and EM and DM political volatility.
- **Inflation in EM has risen to roughly 3.8%** from 2.8% pre-crisis—well below the 2022 surge and concentrated in parts of Asia—while demand pressures appear limited and expectations relatively anchored. Upside risks include second-round effects and El Niño, varying by country.
- **EM central banks are largely fine-tuning policy** rather than starting new tightening cycles, helped by high real rates versus DMs. Sovereign fundamentals remain solid: stable debt and deficits, continued rating upgrades, and limited default risk even under a prolonged oil shock. Historically, EMD has held up in hiking cycles driven by growth and productivity more than inflation or fiscal fears.

Performance and positioning

%	1M	3M	YTD	1Y	3Y	5Y	Since inception
Fund	-1.65	-0.01	0.56	6.71	6.70	1.12	2.87
Benchmark	-1.60	0.09	0.59	6.85	7.15	1.58	3.36
Excess return (geometric)	-0.05	-0.10	-0.03	-0.14	-0.42	-0.46	-0.48

%	2025	2024	2023	2022	2021	2020	2019
Fund	13.21	2.05	9.63	-15.66	-2.70	5.42	18.03
Benchmark	13.68	2.60	10.32	-15.19	-2.17	6.03	18.58
Excess return (geometric)	-0.41	-0.53	-0.63	-0.55	-0.54	-0.57	-0.46

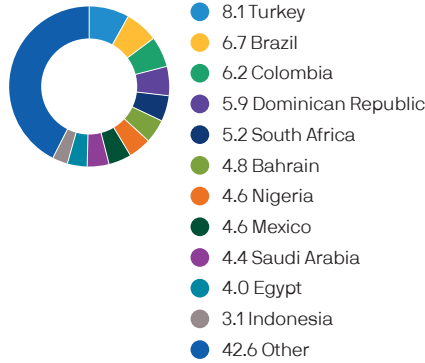
Past performance and forecast is not a reliable indicator of current and future results.

Source: J.P. Morgan Asset Management. Share class performance is shown based on the NAV (net asset value) of the share class with income (gross of shareholder tax) reinvested including actual ongoing charges excluding any entry and exit fees. Performance over one year is annualised. Performance is shown based on the NAV which may not be the same as the market price of the ETF. Individual shareholders may realize returns that are different to the NAV based returns. Share class inception date is 15.02.2018.

Holdings

TOP 10	Coupon rate	Maturity date	% of assets
Government of Egypt	5.88	16/2/31	1.8
Government of Brazil	5.63	21/2/47	1.4
Government of Dominican Republic	5.88	30/1/60	1.4
Government of South Africa	5.75	30/9/49	1.3
Government of Dominican Republic	4.88	23/9/32	1.2
Government of South Africa	4.30	12/10/28	1.2
Government of Brazil	4.63	13/1/28	1.1
Kingdom of Bahrain	6.75	20/9/29	1.1
Government of Ghana	6.00	3/7/35	1.1
Government of Turkey	9.38	14/3/29	1.0

Country breakdown (%)



Bond quality breakdown (%)

AAA	0.1	Average duration: 6.5 yrs
A	11.6	Yield to maturity: 6.4%
BBB	24.3	Average maturity: 11.0 yrs
<BBB	63.9	Average coupon : 5.9%
Cash	0.2	Average quality: BB+

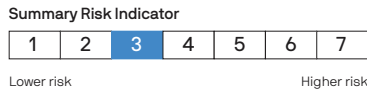
Number of holdings

307

RISK PROFILE

To the extent that the Sub-Fund uses financial derivative instruments, the risk profile and the volatility of the Sub-Fund may increase. That notwithstanding, the risk profile of the Sub-Fund is not expected to significantly deviate from that of the Index as a result of its use of financial derivative instruments.

The value of debt securities may change significantly depending on economic and interest rate conditions as well as the credit worthiness of the issuer. These risks are typically increased for below investment grade debt securities which may also be subject to higher volatility and lower liquidity than investment grade debt securities. The credit worthiness of unrated debt securities is not measured by reference to an independent credit rating agency.



The risk indicator assumes you keep the product for 5 years. The risk of the product may be significantly higher if held for less than the recommended holding period. In the UK, please refer to the synthetic risk and reward indicator in the latest available key investor information document.

Emerging markets may be subject to increased political, regulatory and economic instability, less developed custody and settlement practices, poor transparency and greater financial risks. Emerging market currencies may be subject to volatile price movements. Emerging market and below investment grade debt securities may also be subject to higher volatility and lower liquidity than non-emerging market and investment grade debt securities respectively.

The Sub-Fund is not expected to track the performance of the Index at all times with perfect accuracy. The Sub-Fund is, however, expected to provide investment results that, before expenses, generally correspond to the price and yield performance of the Index.

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